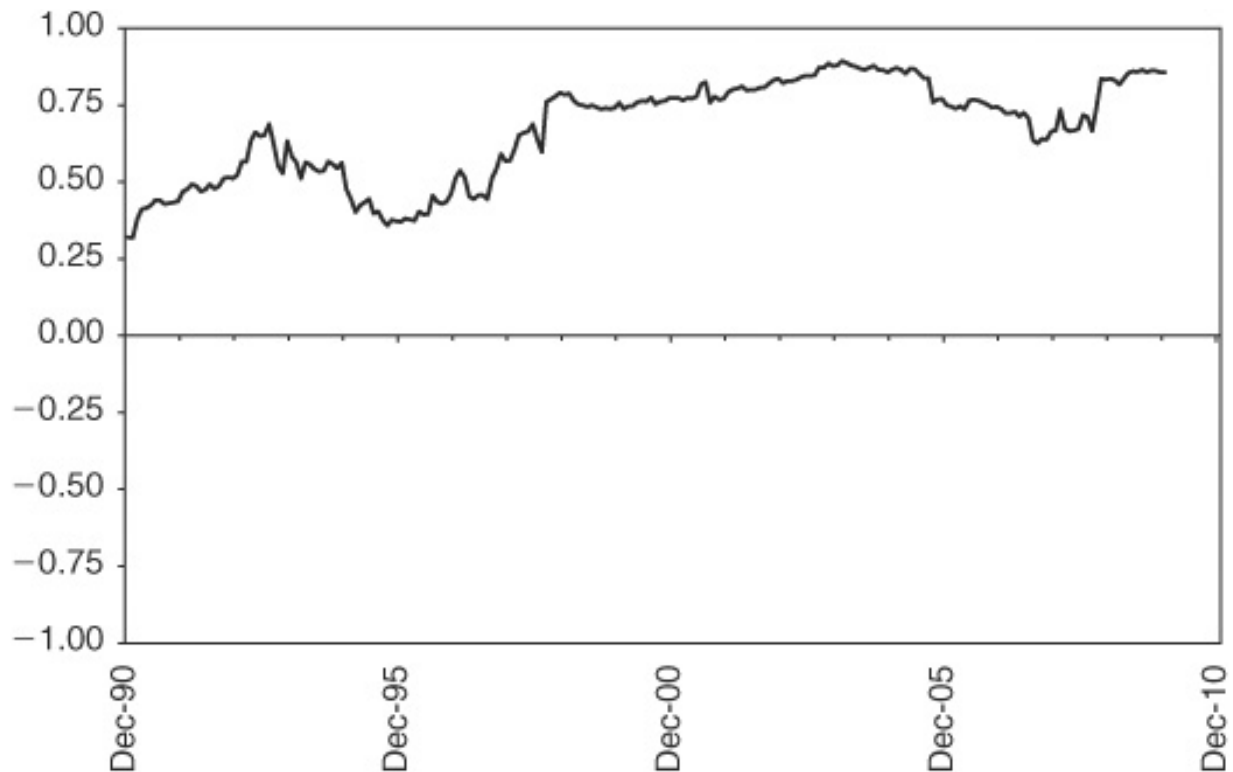




The rolling 36-month correlation analysis shown in [Figure 7-8](#) illustrates that since its inception in 1988, the MSCI Emerging Markets Index has increased its correlation with U.S. stocks, which decreases the diversification benefit in the portfolio. Perhaps the increase in correlation is a short-term phenomenon, and perhaps it is permanent.

It would not be surprising if the correlation between the U.S. stock market and emerging markets diverges over the next decade as China, Russia, and India become more dominant global equity indexes. The correlation between two markets can change very quickly, and that past correlation is not a good prediction of future correlation. Accordingly, a permanent allocation to emerging market stocks is recommended for your potential investment list. A table of emerging market index funds can be found at the end of this chapter.

SIZE AND VALUE FACTORS IN INTERNATIONAL MARKETS

[Chapter 6](#) explains three risk factors that have had a profound effect on the returns of U.S. stocks. According to researchers Gene Fama and Ken French, 95 percent of the return on a widely diversified U.S. stock portfolio